

- 2 Amayi owns a manufacturing business. Her financial year ends on 30 April.

For
Examiner's
Use

She has the following depreciation policy:

Machinery is depreciated at the rate of 25% per annum using the diminishing (reducing) balance method.

Office furniture is depreciated at the rate of 10% per annum using the straight-line method.

Loose tools are depreciated using the revaluation method.

A full year's depreciation is charged on assets in the year of purchase but no depreciation is charged in the year of sale.

REQUIRED

- (a) Give **two** reasons why depreciation should be charged.

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- (b) Suggest **one** reason why the diminishing (reducing) balance method might be the most appropriate method for Amayi to depreciate her machinery.

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The following information is available for the year ended 30 April 2011.

- 1 Balances 1 May 2010

	\$
Non-current assets at cost	
Machinery	80 000
Office furniture	15 000
Provisions for depreciation	
Machinery	60 000
Office furniture	5 000

- 2 On 31 July 2010, additional machinery, \$18 000, was purchased.
- 3 On 20 February 2011, office furniture, which had cost \$1 000 on 1 May 2008, was sold for \$550 cash.
- 4 On 1 May 2010, loose tools, cost price \$1600, were valued at \$1050.
Additional loose tools were purchased during the year for \$630.
On 30 April 2011 loose tools were valued at \$1400.

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- (c) Calculate the depreciation to be charged on **each** of the following for the year ended 30 April 2011.

(i) Machinery

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(ii) Office furniture

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(iii) Loose tools

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- (d) Calculate the profit or loss on the office furniture sold on 20 February 2011.

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- (e) Calculate the net book value on 30 April 2011 of

- (i) Machinery

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- (ii) Office furniture

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- (f) Identify by ticking the appropriate box, (✓) whether **each** payment is capital expenditure or revenue expenditure.

	Capital expenditure	Revenue expenditure
Purchase of spares for machinery		
Installation of additional machinery		
Repairs to office furniture		
Purchase of loose tools		

[4]

[Total: 21]